

Financial Management

MODULE MATERIALS

List of Modules

No.	MODULE TITLE	MODULE CODE
1	<i>Introduction to Financial Management</i>	FMAN 223-1
2	<i>Framework of Financial Management</i>	FMAN 223-2
3	<i>Effects of the Economic Environment on Business Strategy</i>	FMAN 223-3
4	<i>Evaluating, Operating, and Financial Performance</i>	FMAN 223-4
5	<i>Financial Forecasting, Planning and Control</i>	FMAN 223-5
6	<i>Working Capital Management</i>	FMAN 223-6



MODULE CONTENT

COURSE TITLE: FINANCIAL MANAGEMENT

MODULE TITLE INTRODUCTION TO FINANCIAL MANAGEMENT

NOMINAL DURATION: 6 HRS

SPECIFIC LEARNING OBJECTIVES:

At the end of this module you MUST be able to:

1. Relate about the mission, vision, and objectives of the school
2. Learn the functions of financial management
3. Understand the forms of business organizations.
4. Know the nature, purpose, and scope.

TOPICS:

1. Nature, purpose, and scope of financial management
2. Relationship of financial management to organizational strategy and other organizational objectives
3. Functions of financial management
4. Forms of business organizations.

ASSESSMENT METHOD/S:

Multiple Choice

REFERENCE/S:

Ma. Elenita Balatbat Cabrera and Gilbert Anthony B. Cabrera Financial Management Comprehensive Volume (2019-2020 Edition) pp. 1-45

<https://www.finance4nonfinancemanagers.com/finance-management/introduction-to-financial-management/>

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Information Sheet FMAN 223-1

Introduction to Financial Management

Learning Objectives:

After reading this INFORMATION SHEET, YOU MUST be able to:

- 1. Relate about the mission, vision, and objectives of the school
- 2. Find how it manifests in their studies.

Introduction to Financial Management



Financial Management is about preparing, directing and managing the money activities of a company such as buying, selling and using money to its best results to maximize wealth or produce best value for money. It is basically applying general management concepts to the cash of the company. Financial Management can also be defined as – The management of the finances of a business/organization in order to achieve financial objective.

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NATURE OF FINANCIAL MANAGEMENT

Financial Management - is a decision-making process concerned with planning, acquiring and utilizing funds in a manner that achieves the firm’s desired goals. It is also referred to as managerial finance, corporate finance, and business finance.



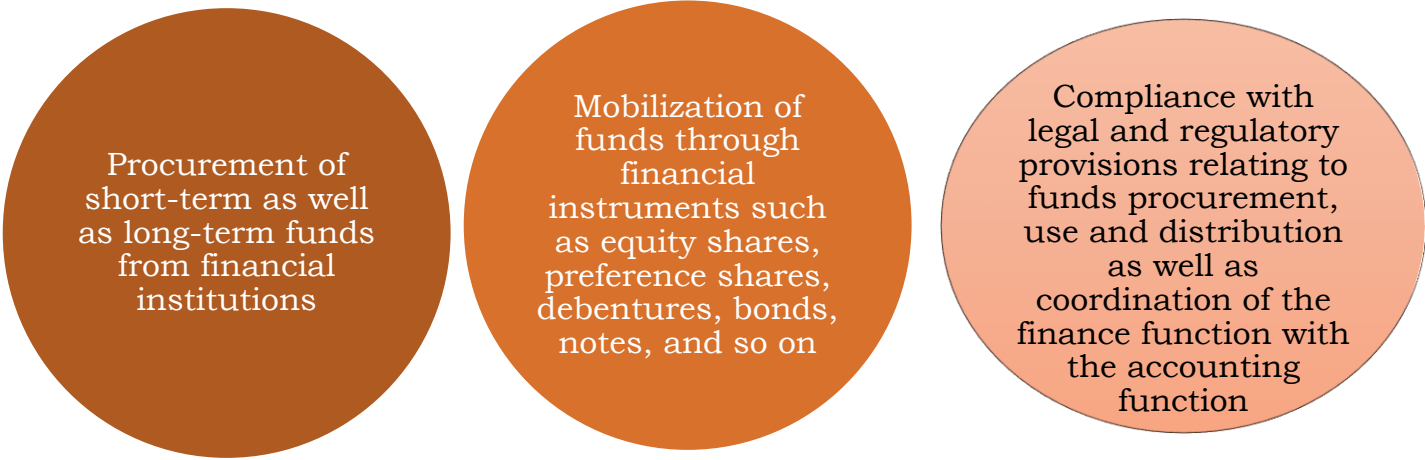
Finance-is a body of fact, principles, and theories relating to raising and using money by individuals, businesses, and governments.

Considers that shareholders in a firm are the residual owners-they are only entitled to what is left after employees, suppliers, creditors and anyone else with a legitimate claim are paid their due.

To maximize the current value per share of the existing stock or ownership in a business firm.

Goal of Financial Management

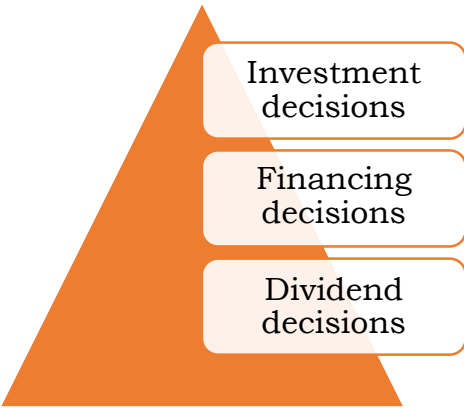
SCOPE OR FUNCTIONS OF FINANCIAL MANAGEMENT



IN THE MODERN APPROACH, FINANCIAL MANAGER IS EXPECTED TO ANALYZE THE BUSINESS FIRM AND DETERMINE THE FOLLOWING:

- ✓ The total funds requirements of the firm
- ✓ The assets or resources to be acquired and
- ✓ The best pattern of financing assets

Types of financial decisions



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Investment decisions

Determine how scarce or limited resources in terms of funds of the business firms are committed to the projects

Firm should select only those capital investment proposals whose net present value is positive and the rate of return exceeding the marginal cost of capital

Should consider the profitability of each individual project proposal that will contribute to the overall profitability of the firm and lead to the creation of wealth



Financing decisions



- ✓ Assert that the mix of debt and equity chosen to finance investments should maximize the value of investments made.
- ✓ Should consider the cost of finance available in different forms and the risks attached to it.

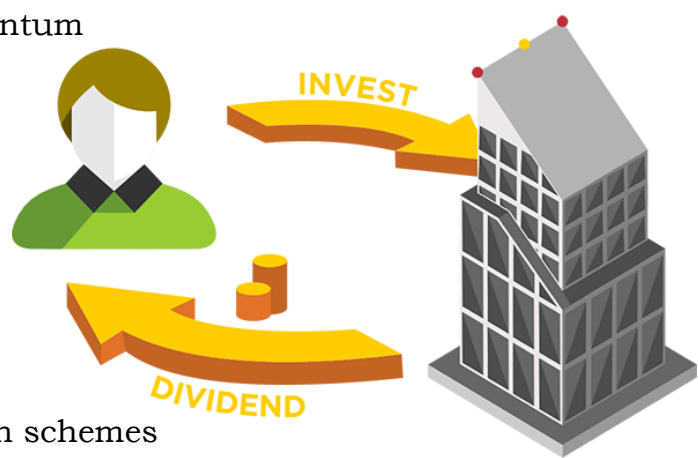
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Dividend decisions

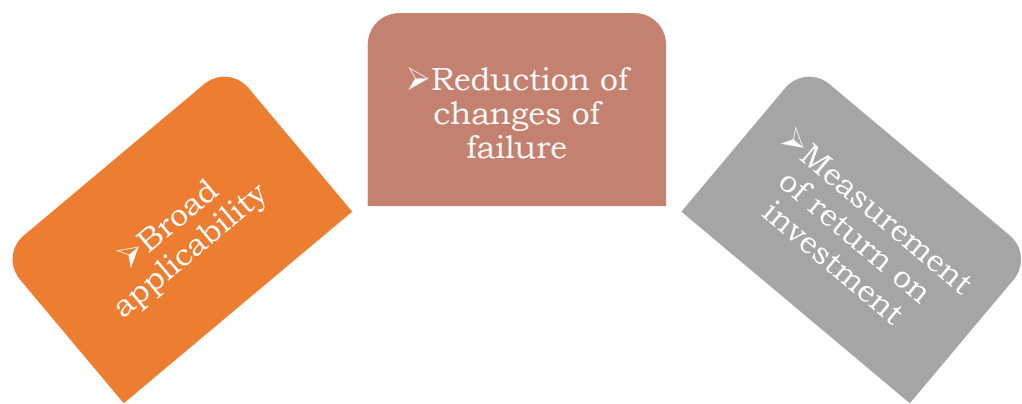
Concerned with the determination of quantum of profits to be distributed to the owners, the frequency of such payments and the amounts to be retained by the firm

Distribution policies and retention of profits will have ultimate effect on the firm’s wealth

Business should retain its profits in the form of appropriations or reserves for financing its future growth and expansion schemes



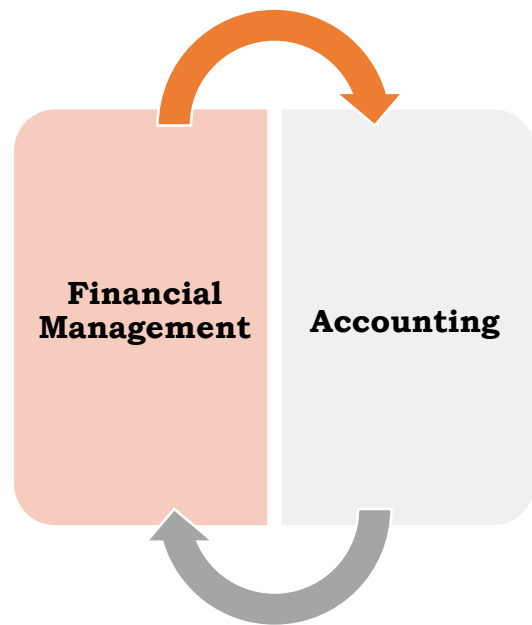
**SIGNIFICANCE OR IMPORTANCE OF
FINANCIAL MANAGEMENT**



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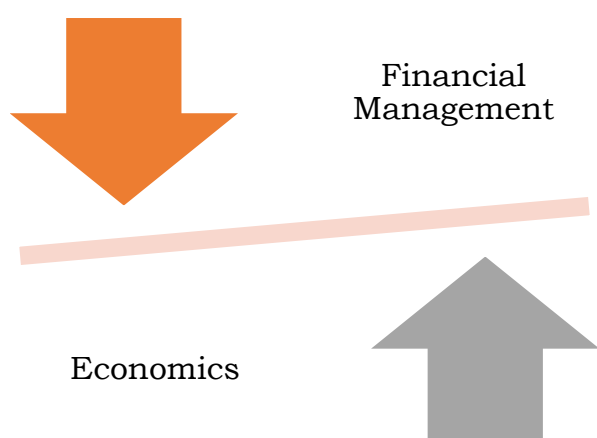
Relationship between Financial Management, Accounting & Economics

Financial Management is more than an art of accounting & bookkeeping



Accounting function discharges the function of systematic recording of transactions relating to the activities in the books of accounts .and summarizing the same for presentation in the financial statements such as Statement of Comprehensive Income, Statement of Financial Position, Statement of Shareholders’ Equity and the Cash Flow Statement.

- FS help managers to make business decisions involving the best use of cash, the attainment of efficient operations, the optional allocation of funds among assets, and the effective financing of investment and operations. FS interpretation is done partly by using financial ratios, pro forma and cash flow statement.



FINANCIAL managers can make better decisions if they apply these basic economic principles.

Example:
economic theory teaches us to seek the best allocation of resources

MICROECONOMICS - deals with the economic decisions of individuals and firms. It focuses on the optimal operating strategies based on the economic data of individuals and firms.

MACROECONOMICS - looks at the economy as a whole in which a particular business concern is operating. It provides insight into policies by which economic activity is controlled.

Financial Management and Public Responsibility

- Primary for managers of publicly owned companies implies that decisions should be made to maximize the long-run value of the firm’s equity shares
- Managers have the obligation to behave ethically and they must follow the law and other society-imposed constraints
- Financial managers must reconcile social and environmental requirements with profit-making motive.



RELATIONSHIP OF FINANCIAL OBJECTIVES TO ORGANIZATIONAL STRATEGY & OTHER ORGANIZATIONAL OBJECTIVES

Objectives/Goals of Financial Management

Profit maximization

Also known as cashing per share maximization

Ultimate aim of the business is earning profit

Profit is the parameter of measuring the efficiency of the business

Helps to reduce the risk of the business

DRAWBACKS of Profit Maximization

- a. It is vague.
- b. It ignores the time value of money.
- c. It ignores risk.

Wealth maximization

Involves latest innovations and improvements in the field of business (modern approach)

Wealth means shareholder wealth or those who are involved in the business

Also known as value maximization or net present worth maximization

Broad Terms Objectives

- To be a leader in technology in the industry
- To achieve profits through a high-level manufacturing efficiency,
- To achieve a high degree of customer satisfaction



STRATEGIC FINANCIAL MANAGEMENT

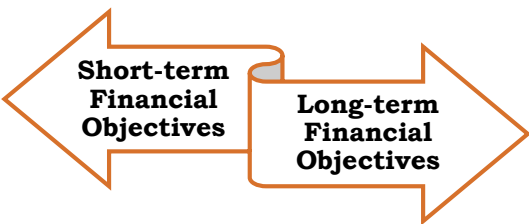
- Long-range in scope and focus in organization.
- Involves financial planning, financial forecasting, provision of finance and formulation of finance policies which should lead the firm’s survival & success
- Finance manager should provide a basis and information for strategic positioning of the firm in the industry thru a strategic or business plan.

Maximization of return on capital employed or return on investment

Growth in earnings per share and price/earnings ratio through maximization of net income or profit and adoption of optimum level of leverage

Minimization of finance charges

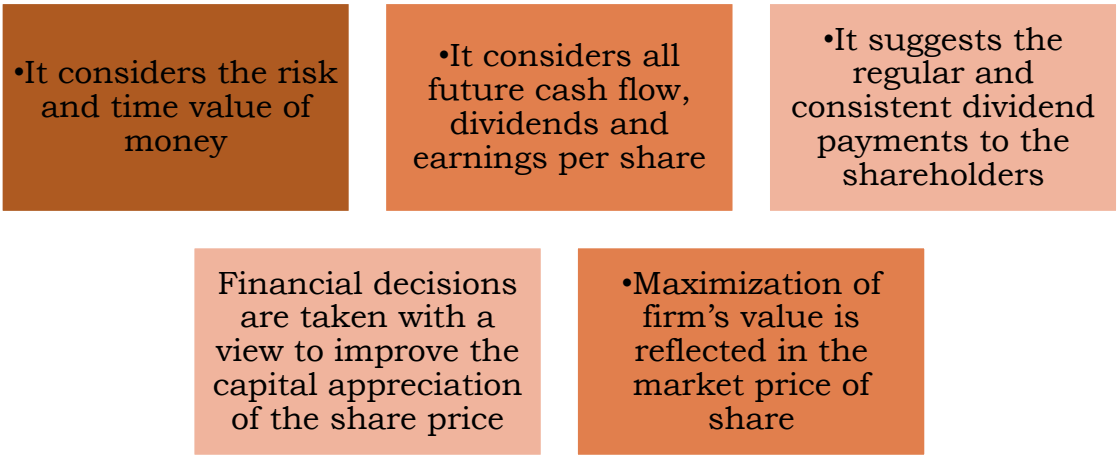
Efficient procurement and utilization of short-term, medium-term, and long-term funds



Maximization of the firm’s market share and sustained growth in dividend to shareholders

Survival and sustained growth of the firm

Grounds for Wealth Maximization Goal



RESPONSIBILITIES TO ACHIEVE THE FINANCIAL OBJECTIVES

A. Investing

Examples of investing decisions of a finance manager:

- Evaluation and selection of capital investment proposal
- Determination of the total amount of funds that a firm can commit for investment
- Prioritization of investment alternatives
- Funds allocation and its rationing
- Determination of the levels of investments in working capital (inventory, receivables, cash, marketable securities and its management)
- Determination of fixed assets to be acquired
- Asset replacement decisions
- Purchase or lease decisions
- Restructuring reorganization mergers & acquisition
- Securities analysts and portfolio management



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B. Financing

Examples of financing decisions of a finance manager

- Determination of the financing pattern of short-term, medium-term and long-term funds requirements
- Determination of the best capital structure or mixture of debt and equity financing
- Procurement of funds through the issuance of financial instruments such as equity shares, preference shares, bonds, long-term notes
- Arrangement with bankers, suppliers, and creditors for its working capital, medium and other long-term fund requirements
- Evaluation of alternative sources of funds



C. Operating



- Issues to be resolved in relation to managing a firm’s working capital
- Level of cash, securities & inventory that should be kept on hand
- Credit policy (should the firm sell on credit? If so, what terms should be extended?)
- Source of short-term financing (if the firm would borrow in the short-term, how and where it should borrow?)
- Financing purchases of goods (should the firm purchase its raw materials or merchandise on credit or should it borrow in the short-term and pay cash?)

•Private property rights can promote property and cooperation and protect the environment sufficiently.

•People with strong desires for various environmental amenities (green spaces, hiking trails and wilderness lands) want the government to force others to help pay for them

Government improve accountability and protect rights by regulation.

ENVIRONMENTAL
“GREEN”
POLICIES AND
THEIR
IMPLICATIONS
FOR THE
MANAGEMENT
OF THE
ECONOMY AND
FIRM.

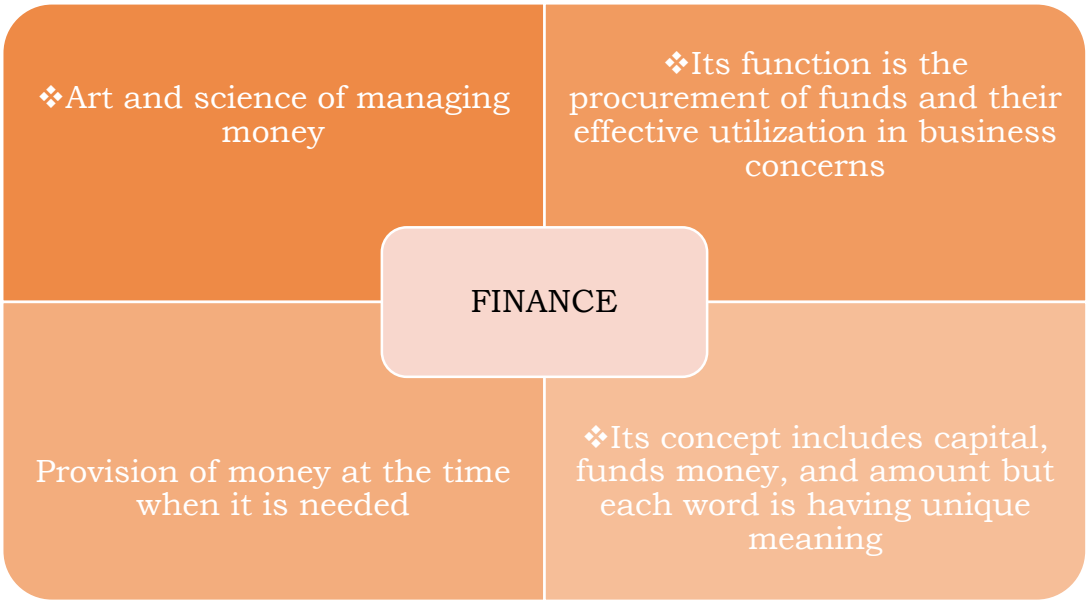


FUNCTIONS OF FINANCIAL MANAGEMENT

FOUNDATIONS OF FINANCE - It is called as lifeblood of business organization.

- Modern world, all activities are concerned with the economic activities and very particular to earning profit.
- Economic concepts of the factors of production, rent given to landlord, wage given to labor, interest given to capital & profit given to shareholders or proprietors, a business concern needs finance to meet all the requirements.
- May be called capital, investment, fund, etc. but each term having different meanings and unique characters.
- Increasing the profit is the main aim of any kind of economic activity.

Meaning of Finance





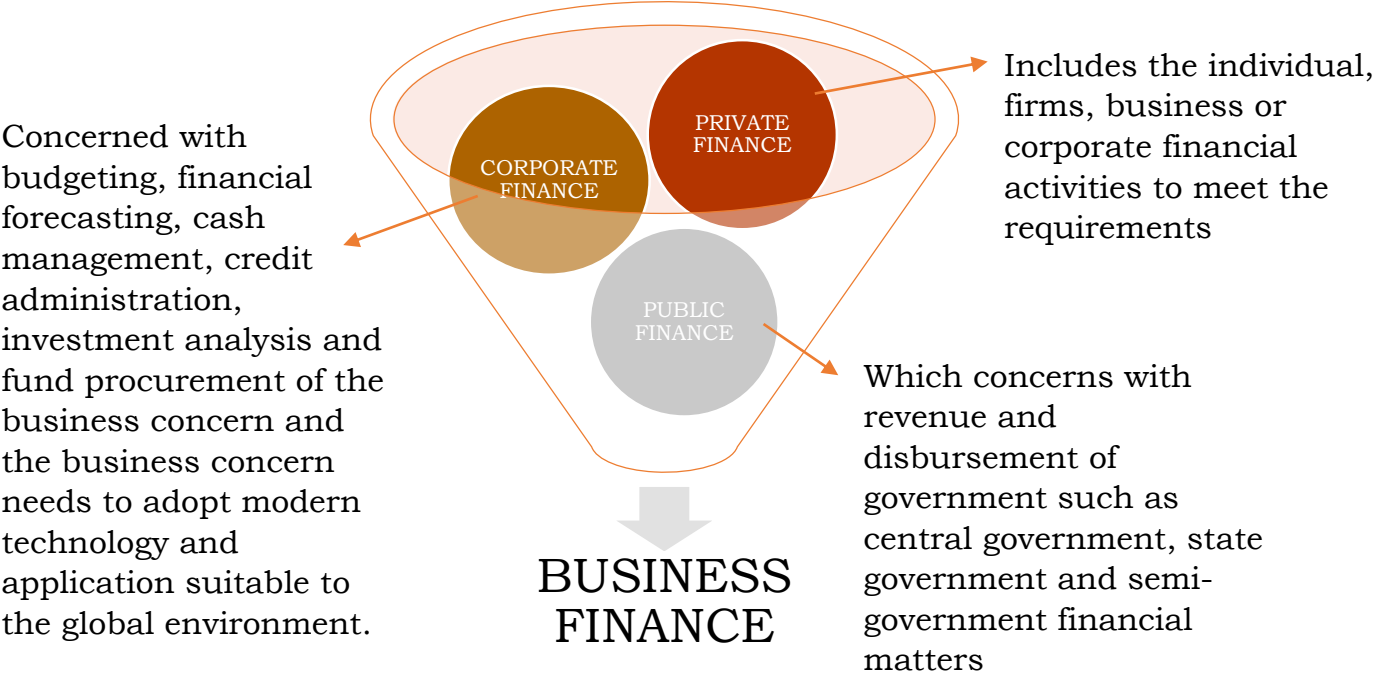
Finance - Science on the study of the management of funds and the management of fund as the system that includes the circulation of money, the granting of credit, the making of investments, and the provision of banking facilities.

Functions of Finance Manager

Forecasting financial requirements	⑩ Responsible to estimate the financial requirement of the business
Acquiring necessary capital	⑩ Should concentrate how the finance is mobilized & where it will be available
Investment decision	⑩ Must carefully select best investment alternatives & consider the reasonable & stable return from the investment
Cash management	⑩ Should monitor present day's cash management which plays a major role in the area of finance
Interrelation with another department	• Deals with various functional departments such as marketing, production, personnel, system research development, etc.

Definition of Business Finance

Activity concerned with planning, raising, controlling, administering of the funds used in the business.

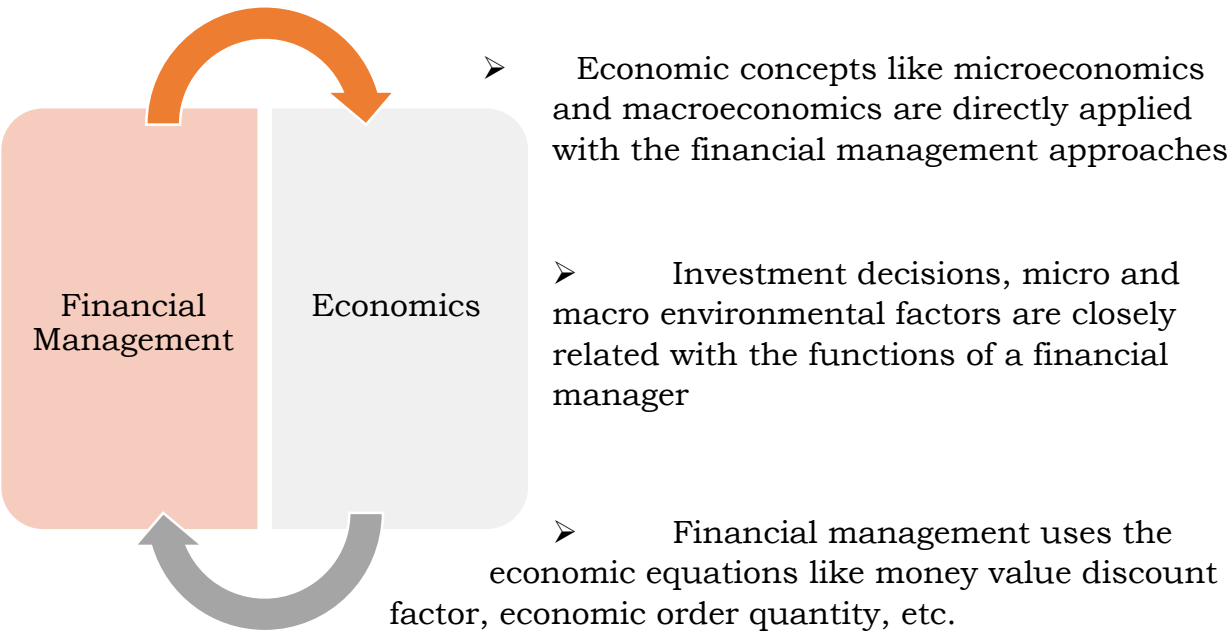


OVERVIEW OF FINANCIAL MANAGEMENT

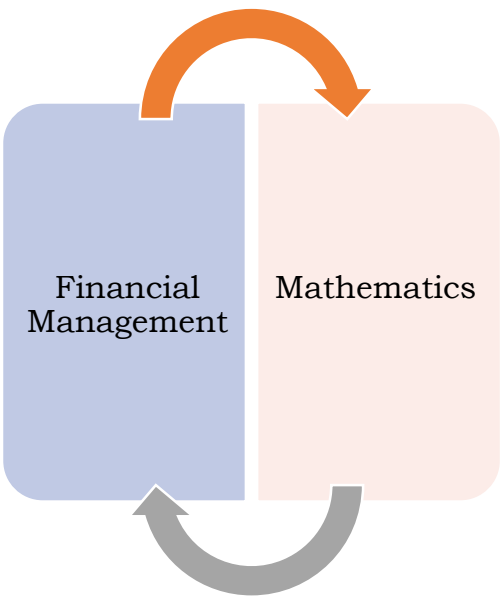
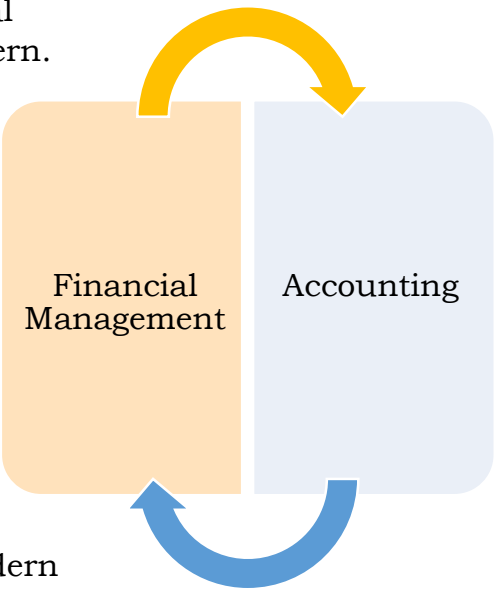
Financial Management - deals with procurement of funds and their effective utilization in the business

Operational activity of a business that is responsible for obtaining and effectively utilizing the funds necessary for efficient operations



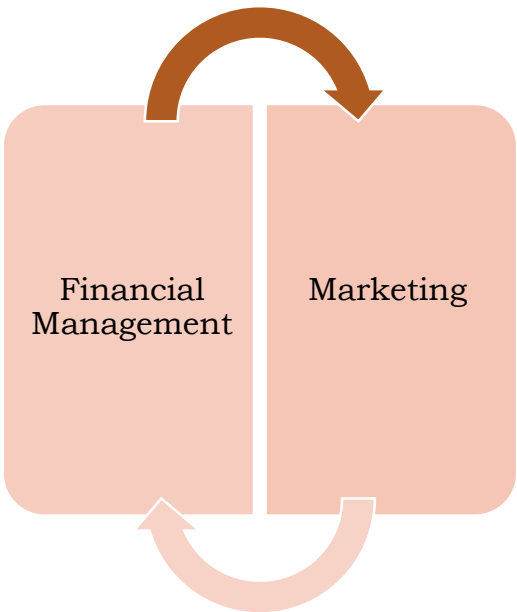
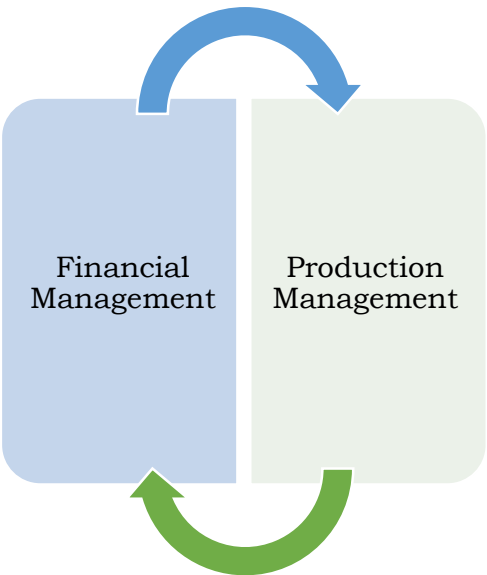


- Accounting records includes the financial information (or FS) of the business concern.
- Both are treated as a same discipline and it has been merged as Management accounting because this part is very helpful to finance manager to take decisions (olden days).



- Modern approaches of the financial management applied large number mathematical and statistical tools & techniques (econometrics)
- Economic order quantity, discount factor, time value of money, present value of money, cost of capital, capital structure theories, dividend theories, ratio analysis and working capital analysis (mathematical and statistical tools used in Financial Management).

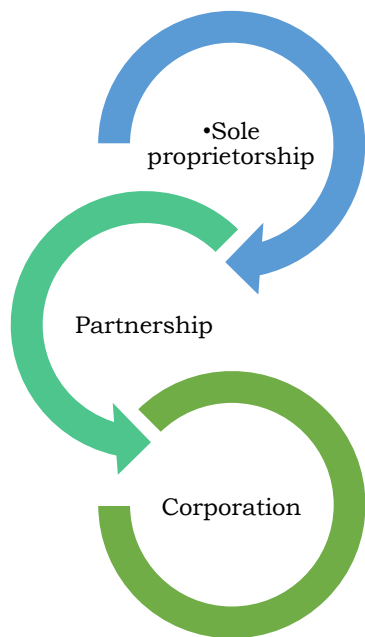
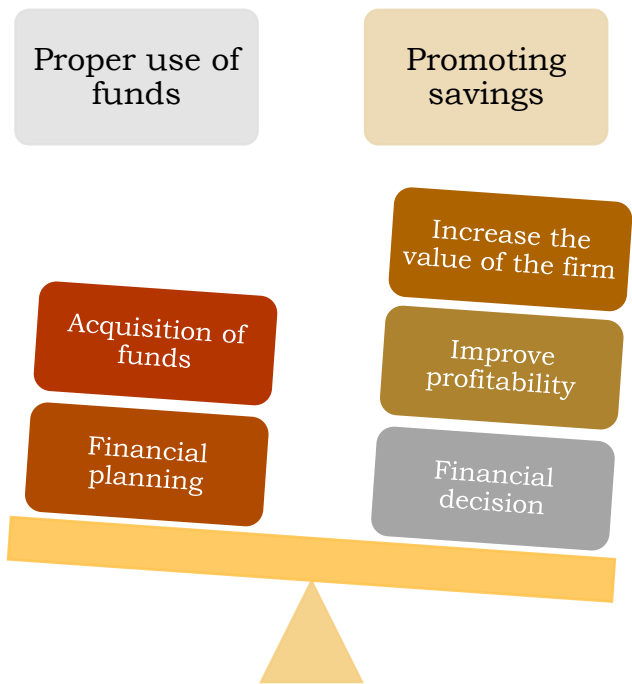
- Operational part of the business concern, helps to multiple the money into profit.
- Profit concern depends upon the production performance.
- It needs finance because production department requires RAW MATERIAL, MACHINERY, WAGES, OPERATING EXPENSES, ETC.



- Produced goods are sold in the market with innovative and modern approaches
- Marketing department needs finance to meet their requirement
- Finance department or finance manager is responsible to allocate the adequate finance to the marketing department



Importance of Financial Management



Forms of Business Organizations

Various Forms of Business Organizations

Structure	Ownership	Taxation	Liability	Use
Sole Proprietorship	1 owner	Individual income taxed	Unlimited	Individual starting a business and easiest way to conduct business
Partnership	2 or more owners	Individual owners' income taxed	Somewhat limited	Easy way for two individuals to conduct business
Corporation	Any number of shareholders	Corporate and shareholder taxed	Limited	A legal entity with shareholders or stakeholders
S Corporation	Up to 75 shareholders	Taxed as a partnership	Limited	A legal entity with tax advantages for restricted number of shareholders
Limited Liability Company	Unlimited number of shareholders	Taxed as a partnership	Limited	Avoid personal lawsuits

Sole Proprietorship - Businesses owned and operated by one individual; the most common form of business organization in the United States

- Many restaurants
- Hair salons
- Flower shops
- Dog kennels
- Independent grocery stores



- Sole Proprietorship - Facts
- 15-20 million in the U.S.
- 80% of all businesses
- Men 2x more likely than women to start own business



**Advantages of
Sole
Proprietorship**

Ease of entry and exit
Full ownership, flexibility and control
Tax savings
Few Government regulation

Unlimited liability
Limited sources of funds
Limited skills
Lack of continuity

**Disadvantages of
Sole
Proprietorship**



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Partnership - A form of business organization defined by the Uniform Partnership Act as “an association of two or more persons who carry on as co-owners of a business for profit”



Types of Partnership



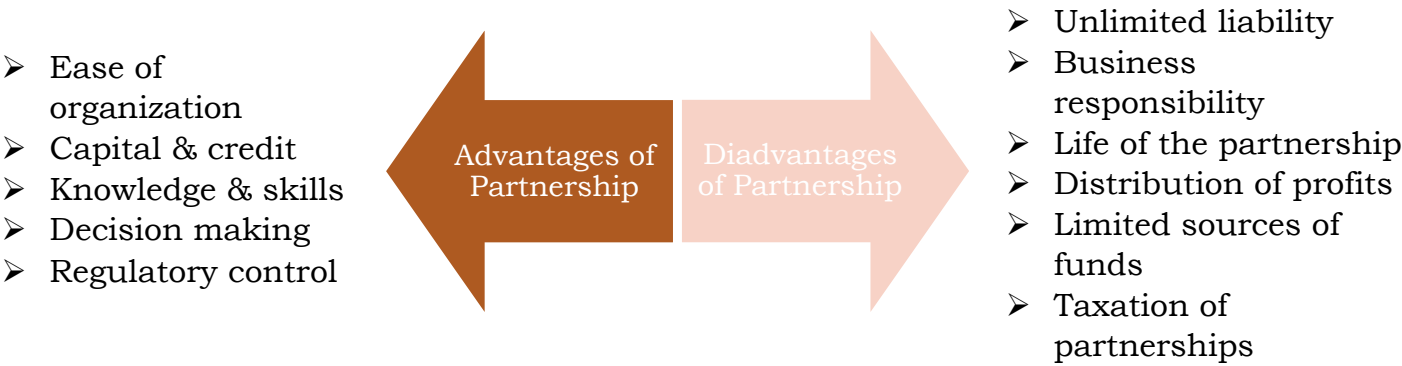
- **General partnership** - A partnership that involves a complete sharing in both the management and the liability of the business.
- **Limited partnership** - A business organization that has at least one general partner, who assumes unlimited liability, and at least one limited partner whose liability is limited to his or her investment in the business.

Articles of Partnership

Legal documents that set forth the basic agreement between partners.

- ✓ Name, purpose, location
- ✓ Duration of the agreement
- ✓ Authority and responsibility of each partner
- ✓ Character of partners (i.e., general or limited, active or silent)
- ✓ Amount of contribution from each partner
- ✓ Division of profits or losses
- ✓ Salaries of each partner
- ✓ How much each partner is allowed to withdraw
- ✓ Death of partner
- ✓ Sale of partnership interest
- ✓ Arbitration of disputes
- ✓ Required and prohibited actions
- ✓ Absence and disability
- ✓ Restrictive covenants
- ✓ Buying and selling agreements

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Keys to Success in Business Partnerships

- Keep profit sharing and ownership at 50-50
- Partners should have different & complementary skill sets
- Honest is critical
- Maintain face-to-face communications
- Transparency – sharing information
- Awareness of funding constraints and limited resources
- To be successful, you need experience
- Family is priority; limit associated problems
- Do not become too infatuated with “the idea” think implementation
- Couple optimism with realism in sales and growth expectations

Corporations - Legal entities created by the state whose assets and liabilities are separate from its owners.

Typically owned by many individuals and/or organizations who own shares of the business – stock (shareholders or stockholders)



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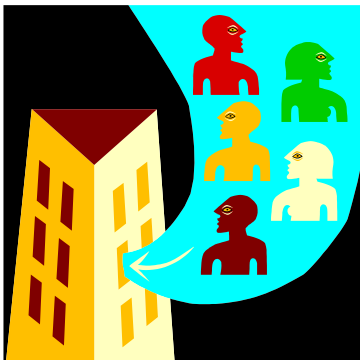
Stock – shares of a corporation that may be bought or sold

Dividends – profits of a corporation that are distributed in the form of cash payments to stockholders.

Types of Corporation

Private corporation – a corporation owned by just one or a few people who are closely involved in managing the business.

Public Corporation– a corporation whose stock anyone may buy, sell, or trade.



Initial Public Offering (IPO) – A private corporation who wishes to go “public” to raise additional capital and expand. The IPO is selling a corporation’s stock on public markets for the first time.

Quasi-public corporation – Corporation owned and operated by the federal, state, or local government --(NASA, U.S. Postal Service).



Non-profit corporation – focuses on providing a service rather than earning a profit but are not owned by a government entity (American Red Cross)

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Elements of Corporation



Board of Directors – a group of individuals elected by the stockholders to oversee the general operation of the corporation who set the corporation’s long-range objectives.

Inside Directors – individuals who serve on the board and are employed by the corporation (usually executives of the corporation).

Outside Directors – individuals who serve on the board who are not directly affiliated with the corporation (usually Executives of other corporations).

Stock Ownership

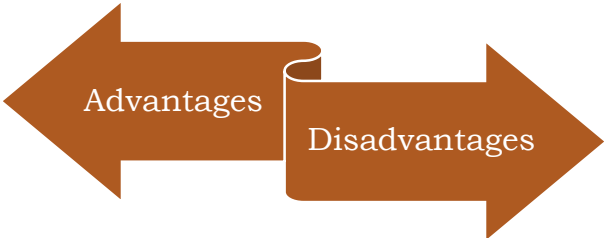
Preferred stock – a special type of stock whose owners, though not generally having a say in running the company, have a claim to profits before other stockholders do.

Common Stock – stock whose owners have voting rights in the corporation, yet do not receive preferential treatment regarding dividends.



CORPORATION

- Limited liability
- Transfer of ownership
- Perpetual life
- External sources of funds
- Expansion potential

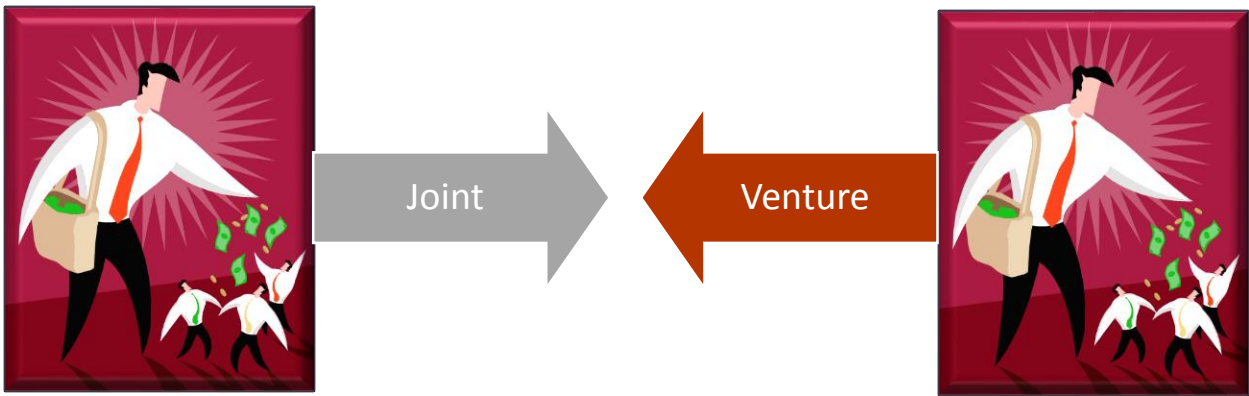


- Double taxation
- Forming a corporation
- Disclosure of information
- Employee-owner separation



OTHER TYPES OF BUSINESS OWNERSHIP

Joint Venture -- a partnership established for a specific project or for a limited time



S-Corporation (S-Corp) – corporation taxed as though it were a partnership with restrictions on shareholders. Very popular with entrepreneurs.



Limited Liability Company (LLC) – form of ownership that provides limited liability and taxation like a partnership but places fewer restrictions on members.



Cooperative (Co-Op)– an organization composed of individuals or small businesses that have banded together to reap the benefits of belonging to a larger organization.



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